

Westpac-Now Q1 2026 first estimate: Activity stabilises

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The underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred.



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Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This follows Westpac-Now's final estimate for Q4 2025 of 0.9% qtr, broadly in line with the actual outcome of 0.8% qtr.

Our monthly activity index stalled in January, moving sideways for the first time since hitting a trough in May 2025. The indicator heatmap shows that labour market, confidence, consumer spending and global activity indicators have lost some momentum, after finishing 2025 on a strong note.

This modest easing is likely to be welcomed by the RBA, with growth moderating toward their estimate of trend growth. Importantly, this moderation predates the impacts of the Middle East conflict, as well as the February and March rate hikes, which are likely to weigh on confidence and activity.

Our framework suggests growth will stabilise at around 0.6% qtr over the following two quarters, through to Q3 2026.

Westpac Now updates will be released monthly, with schedule details set out in Appendix A.

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